The banker may then say that it would not be fair to force him to rely on sales of his bonds in order to obtain money for lending, when other lending institutions such as Savings and Loan Associations are not required to operate that way. And here the banker is perfectly right. At the time each of our credit banks is split into two sections as previously outlined, all lending institutions should be required to gradually convert their obligations to the public into bonded indebtedness. The public should recognize that it is not proper or sound for them to have the right to withdraw their savings on demand, or on 30 days' notice, when those savings have, in fact, been borrowed by others from the lending institutions for a much longer period than 30 days. It is not sound for the simple reason that it is physically impossible for a lending institution to pay all its depositors in 30 days. But it would be sound for a lending institution to sell its bonds and then make loans that would mature on or before the bonds matured. And I understand that Swiss banks make use of this principle to some extent -- as well as the British Building Societies in England (they are the equivalent of our Savings and Loan Associations). The banker may then ask: "What happens if everybody wants to sell these new savings bonds at the same time?" Buried in the answer to this question is one of the most powerful arguments against credit banking -- as well as one of the most powerful arguments for reform. Variations in the volume of money-hoarding are inherent in and have a very disturbing effect upon a system of credit banking (the prime example being a bank panic). By converting our system of credit banking into a system of deposit banking and stabilizing the per-capita supply of dollars, we will have removed the basic cause of variations in the volume of money-hoarding. However, if for the sake of argument we assume that the public suddenly did wish to hoard money (by converting bonds into money), there would be a healthful counteracting force to prevent such action from reaching excessive proportions: The price of bank bonds would fall. Now contrast the two systems: Under credit banking, there is a justifiable reason for a periodic increase in the desire to hoard money, and there is no deterrent to a withdrawal of money from the banking system for hoarding purposes. Indeed, the justification for the desire to hoard -- as well as the actual hoarding itself -- is encouraged by the fact that hoarding will cause a contraction of bank credit and therefore an appreciation in the value of money. Under the new system there is no justifiable reason for a periodic increase in the desire to hoard money. There is no reason to hoard money -- because the supply of money can't decrease, and therefore its value won't be increasing. However, if we should assume that an increase in the desire to hoard money should occur, there will be a natural deterrent that will operate to prevent the increase from becoming excessive. This does not mean, however, that a bank bond would be a poor investment. It should be obvious that any commodity or security will fall in price if everybody holding it decides to sell it. Bank bonds, under the new system, would certainly be one of the safest investments that a person could make. And if someone raises the question: "Wouldn't it be safer to buy a government bond, whose price is maintained by the government?" the answer is: "No. If the price of a bond has to be maintained by the government, you can be sure that the value of that bond is decreasing." In other words, the public should be concerned about the future value of their investments -- not the future price of those investments. Too many innocent people have exchanged their hard-earned dollars for government bonds whose price was maintained by the government but whose value has steadily deteriorated because of the failure of our government to protect the value of our dollar by stabilizing our banking system. When it is realized that the conversion of our credit banks into deposit banks automatically reduces the national debt by about $60 billion (the amount of government bonds now held by the banking system), many people may think that a sleight-of-hand trick is being played. But there is nothing tricky about it. The banking system acquired those bonds by literally creating imaginary deposits on their books to that amount. As a result of that creation of deposits, our price structure is not on a sound basis. By putting a 100% reserve behind demand deposits subject to check, we're merely accepting the situation the bankers have put us in, and stabilizing it so that it can't collapse. We would merely be putting money where it is supposed to be. It is amusing to think that two of the main criticisms of a 100%-reserve population standard are directly contradictory -- even though often expressed by the same person! The same critic will call the plan "inflationary" one minute and then turn around and call it "deflationary" the next minute. You have already seen some examples of this. But if you bear in mind that no new purchasing power will be given to, nor will any be